Mastek Ltd. (MASTEK)

ICICI direct Research

CMP: ₹ 2863 | Target: ₹ 3500 (22%) | Target Period: 12 months | BUY

February 16, 2024

Acquisitions aids to diversify & expand business...

About stock: Mastek Ltd (Mastek) offers data, apps, cloud services to public & private enterprise in the UK, US, Middle East, Asia Pacific and India.

- It is an IT services company providing enterprise digital and cloud transformation services to the Government/public sector; health and life science; retail, consumer & logistics; manufacturing & technology; and financial service sectors.
- The company has clients in 40+ countries and an active client base of 400+ customers.

Investment Rationale

- Growth in US region business & expanding service offerings: Mastek over the last 18 months have made efforts to diversify its business to reduce UK region revenue concentration by expanding its business in the US. The company acquired MST Solutions & BizAnalytica which not only helped to increase its business in US but also expanded its offerings in Salesforce, Snowflake, AWS and data & analytics among others. The acquisitions increased the revenue contribution from US region from 16.7% in FY21 to 24.4% in FY23 & 28% in 9MFY24. The US region revenue grew at CAGR of 16.1% between FY18-23 while between FY21-23 it reported a CAGR of 41.6% aided by acquisitions. We expect the US region growth to continue at accelerated pace and contribute to the overall revenue growth of the company.
- Increase in order backlog & healthy pipeline: Mastek for the last few quarters has been reporting consistent order wins which is reflected in the growth in 12M order backlog. The company in successive quarters of Q2 & Q3 in FY24 won TCV of US$ 100 mn+ (as per our calculations) indicating that its revamped client mining strategy to expand wallet share among existing & new clients is bearing results. The company's 12M Order backlog grew at 20% YOY growth in Q2 & Q3 of FY24 and it 12M Order backlog stood at US$ 248.5 mn in Q3FY24 indicating visibility of near-medium term revenue growth. We believe that the company's revamped client mining strategy & additions of new logos will keep the pipeline healthy and will help the company to sustain its growth momentum.
- Healthy Revenue & Margin growth: Mastek has a healthy order backlog and also robust pipeline which implies that the company is expected to report healthy revenue growth in medium term. We expect the company to report revenue CAGR of 15.6% between FY23-26E in dollar terms & 17% in rupee terms. We also expect the company's EBITDA margin to increase from 17.8% in FY23 to 19% in FY26E while EBITDA & PAT is expected to grow at CAGR of 19.7% & 18.7% respectively between FY23-26E.

Rating and Target Price

- We have a positive view on Mastek and we assign BUY rating with target price of ₹3,500 i.e., at 22x P/E on FY26E EPS.

Mastek

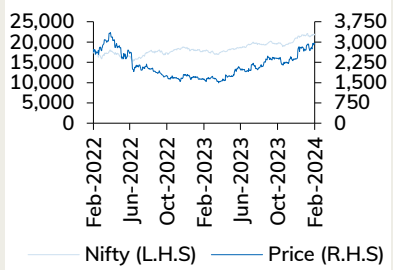
Particulars

Particulars	INR crores
Market Capitalization	8,781.7
Total Debt	370.8
Cash and Investments	270.0
EV	8,882.4
52 week H/L	3069/ 1475
Equity capital	15.3
Face value	5.0

Shareholding pattern

	Mar-23	Jun-23	Sep-23	Dec-23
Promoters	37	37	37	36
FII	13	13	14	14
DII	5	6	6	6
Public	45	44	44	43

Price Chart



Recent Event & Key risks

- Sales/PAT expected to grow at 17%/18.7% CAGR over FY23-26E.
- Key Risk: (i) changes in UK government IT spending policy (ii) Acquired companies not performing at expected levels

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Conviction Pick

ICICI Securities – Retail Equity Research

Key Financial Summary

INR Crore	FY21	FY22	FY23	5 Year CAGR (FY18-23)	FY24E	FY25E	FY26E	3 Year CAGR (FY23-26E)
Net Sales	1,722	2,184	2,563	25.7	3,066	3,543	4,104	17.0
EBITDA	364	463	456	35.5	531	654	781	19.7
EBITDA Margins (%)	21.2	21.2	17.8		17.3	18.5	19.0	
Net Profit	209	295	293	33.2	294	391	490	18.7
EPS (in INR)	43	104	96		95	126	158	
P/E	42.0	27.6	30.0		30.2	22.7	18.1	
RoNW (%)	24.4	27.5	17.4		15.2	17.2	18.1	
RoCE (%)	21.5	26.7	17.0		16.3	18.1	19.1	

Source: Company, ICICI Direct Research

Company background

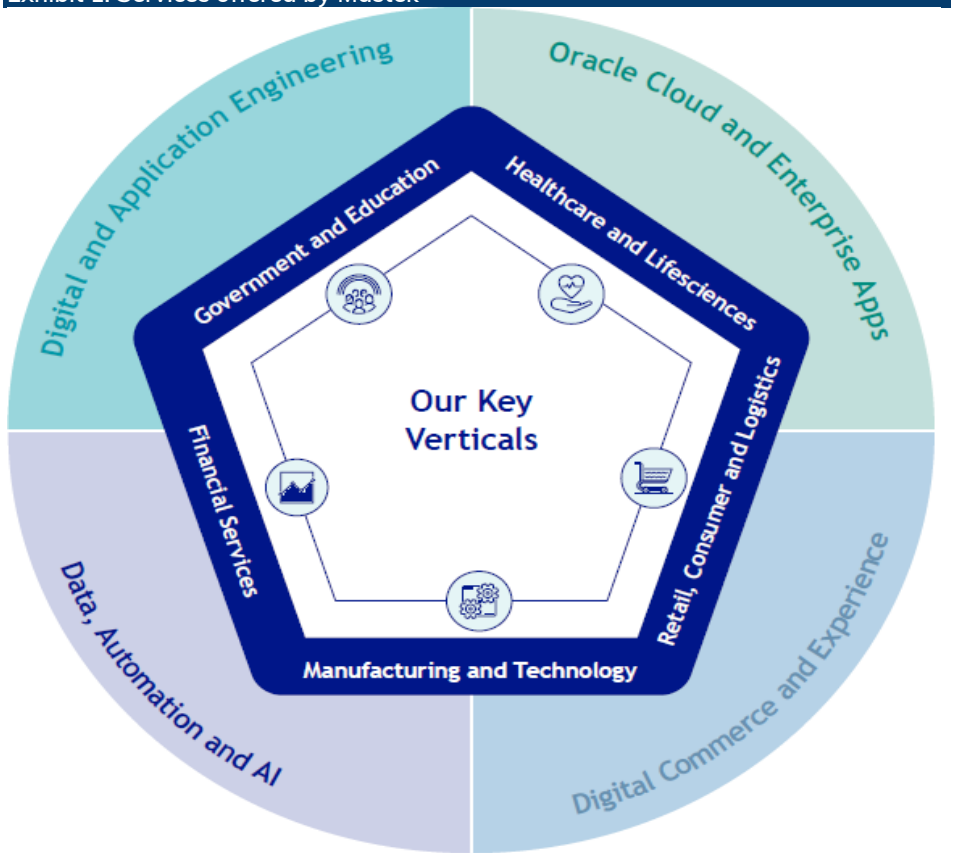
Mastek was incorporated in 1982. It is an IT services company providing enterprise digital and cloud transformation services to Government/public sector; health and life science; retail, consumer & logistics; manufacturing & technology; and financial service sectors. The company's service offerings include Application Development, Oracle Suite & Cloud Migration, Digital Commerce, Application Support & Maintenance, BI & Analytics, Assurance & Testing and Agile Consulting.

Mastek has total employee strength of over 5,000 employees across the world. The company has clients in 40+ countries and an active client base of 400+ customers. The company serves 33 of the Fortune 1000 clients.

The company in FY23 reported dollar revenue of US$ 318.1 mn & in rupee terms it reported revenue of ₹ 2,563.4 crore. Of this UK & Europe contributed 62% of the revenue while US, Middle East & Rest of the World (RoW) contributed 24%, 9% & 5% respectively. For 9MFY24 Mastek reported revenue of US$ 274.7 mn and ₹ 2,275.1 crore in rupee terms.

Mastek aims to reach US$ 500mn revenue in the second half of this decade and be in the Top 3 in growth among the mid-cap IT services company.

Exhibit 1: Services offered by Mastek



Source: Company, ICICI Direct Research

Investment Rationale

Acquisitions & strategic partnerships aids to expand & diversify business

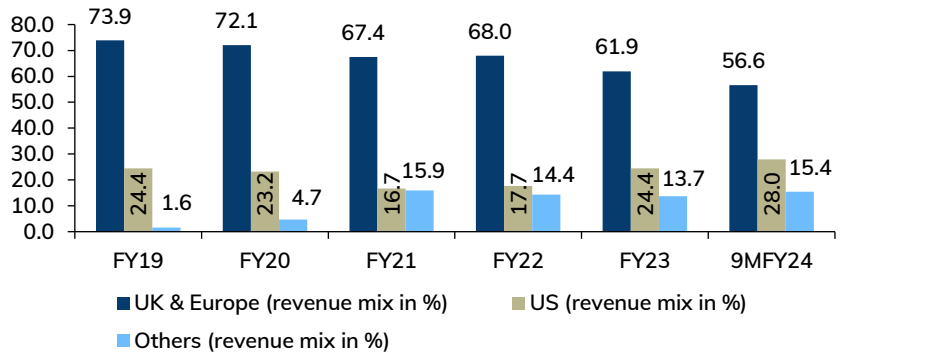
Mastek over the years has enhanced its capabilities in Oracle Cloud & Enterprise Apps. Mastek specialises in providing Oracle cloud solutions & services including consultancy, implementation & long term support. Mastek over the years has served over 1,550 Oracle application customers & has above 2,500+ consultants.

Geography wise Mastek had a very large concentration of revenue contribution from UK & Europe region. The company's generated ~74% of its revenue from UK & Europe region in FY19.

Mastek in order to reduce the geographic concentration and to diversify its business & offerings has completed the following acquisitions/ strategic partnerships:

1) MST Acquisition: Mastek in July 2022 acquired MST Solutions (MST). MST is a Salesforce Summit Level Consulting Partner with a focus on Healthcare, Manufacturing/Tech and State and Local Government in the Americas. MST has an impressive track record of serving Fortune 1000 companies and enjoy a strong reputation in the Healthcare and Public Sector industry verticals. The acquisition not only helps Mastek to diversify its geographic concentration but also aids to strengthen Mastek's presence in Healthcare & Public sectors in US region. MST in LTM June 2022 reported an estimated revenue of US$ 29.4 mn.
2) BizAnalytica: Mastek in July 2023 acquired BizAnalytica, a premier data & cloud modernization solution provider headquartered in the USA. BizAnalytica offers end-to-end data cloud and modernization solutions, including architectural design, system integration, data migration, automation, management, warehousing, and analytics. The company's expertise empowers enterprises to make intelligent, data-driven decisions that drive revenue growth. BizAnalytica has strategic partnerships with leading cloud platforms like Snowflake, Databricks & AWS. BizAnalytica for CY22 reported turnover of US$ 14.6 mn.
3) Strategic partnerships: Apart from acquisitions FSL also made strategic partnerships to expand its offerings to its clients. FSL in FY23 made a strategic partnership with VolteoEdge, a SaaS company with an enterprise ready Edge Intelligence Platform that enables secure IoT workflows and make business workflows smarter. Mastek also has entered into a strategic partnership with Netail, a new age and AI-led retail software solutions partner to help e-Commerce & Omni-channel retailers to optimize retail value chain. Mastek also made a strategic collaboration with Microsoft to provide Microsoft Azure Open AI services & Azure AI services to its clients in retail, healthcare, manufacturing, financial services & public sector industries

Exhibit 2: Region wise revenue mix

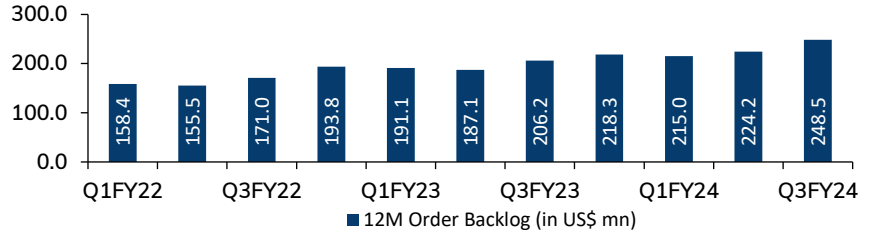


Source: Company, ICICI Direct Research

Growth in Order backlog & revival in UK Healthcare to help Revenue growth

Mastek's order backlog (orders to be executed in next 12 months) despite the macro headwinds in sector has been resilient. The company during the recent times has also won several large deals & its pipeline remains strong across the geographies of UK, US & Middle East. The acquisitions of MST Solutions & BizAnalytica has also aided the company to widen its service offerings which is providing the opportunity to cross sell & upsell its service offerings to create a healthy pipeline. The strong 12M order backlog and robust pipeline will aid the company of sustained revenue growth in the medium term.

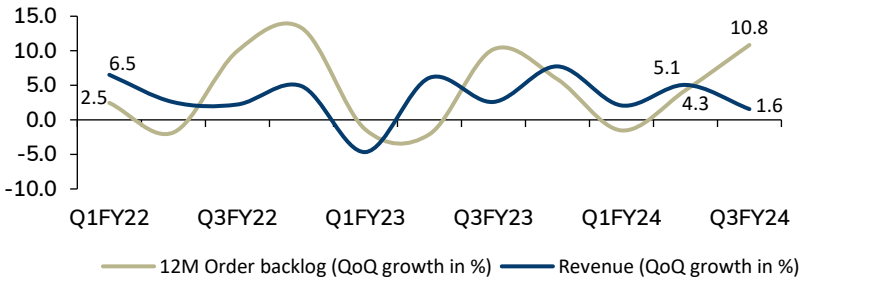
Exhibit 3: 12 Month Order Backlog



Source: Company, ICICI Direct Research

Mastek over the last 18 months has reworked on its client mining strategy. The company is working on adding more Fortune 500/1000 companies/ companies with annual revenue of US$ 1 bn+ with deep tech spending capacity which will help to increase its wallet share once it acquires a new client. The company in FY23 had 28 Fortune 1000 clients which increased to 33 in Q3FY24. Also, the company's clients with annual billings of more than US$1mn has increased from 51 in Q1FY23 to 73 in Q3FY24 while clients with annual billings of more than US$3 mn has increased from 20 in Q1FY23 to 23 in Q3FY24 indicating that the strategy to increase wallet share among its clients is bearing results.

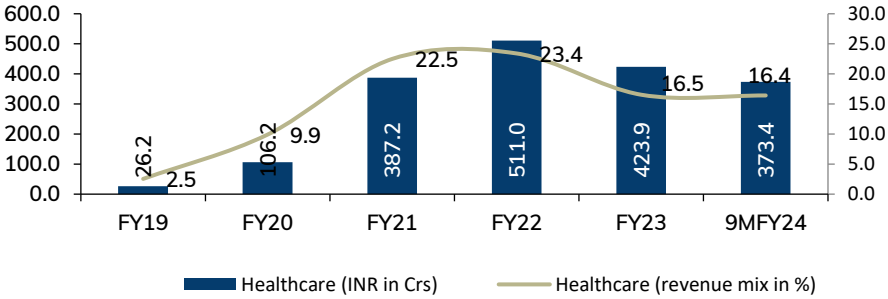
Exhibit 4: Revenue & 12M Order backlog QoQ growth



Source: Company, ICICI Direct Research

UK healthcare sector is a critical segment for the company and it has grown at a rapid pace for the company. The Healthcare segment had grown from 2.5% of revenue mix in FY19 to 23.4% of revenue mix in FY22. UK NHS contributed significantly towards the growth of Healthcare segment. The cutdown in spending by UK NHS had significant impact on the performance of healthcare segment leading to revenue decline in the segment in FY23. The company indicated that as of Q3FY24 the UK NHS spending has bottomed out and it will turnaround in FY25 which would also aid in revenue growth of the company.

Exhibit 5: Healthcare segment revenue & revenue mix contribution



Source: Company, ICICI Direct Research

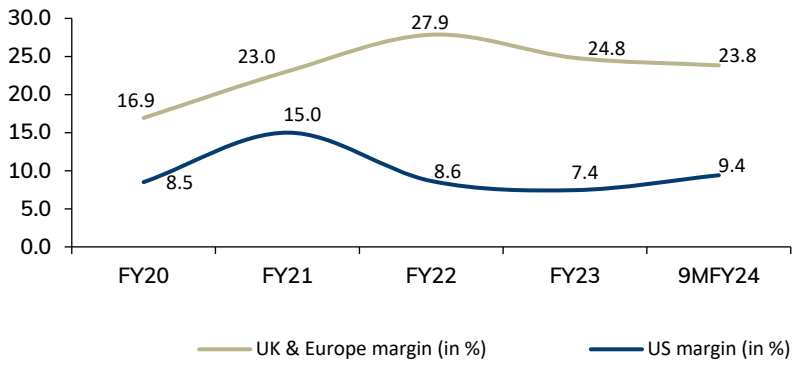
We believe that the recent large deal wins, revival in UK NHS, growth in order backlog and healthy pipeline will lead to sustained strong revenue growth for the company in the medium term.

Margin expansion

Mastek's EBITDA margin declined from 21.2% in FY22 to 17.8% in FY23 mainly due to increase in employee cost & slowdown in revenue growth. The company's employee cost increased due to the increase in attrition which led to higher employees cost as both retention of employees & employee replacement had an impact on margins of the company.

Also, Geography wise the company's US regions margin were low compared to UK & Europe regions margin as the business in US was going through a transition. The company mentioned that its US business has stabilised and also the recent acquisitions has helped to diversify its business which is also aiding in margin improvement. The company has also appointed Mr. Vijay Iyer as President of Americas region to drive forward growth in the region. Mr. Vijay Iyer has over 3 decades of experience across the fields of strategy development, marketing & sales, leading large deals & delivery. Prior to joining Mastek he has worked in several leadership roles in organizations like Persistent, HCL Tech & DXC Technology among others.

Exhibit 6: Region wise margins



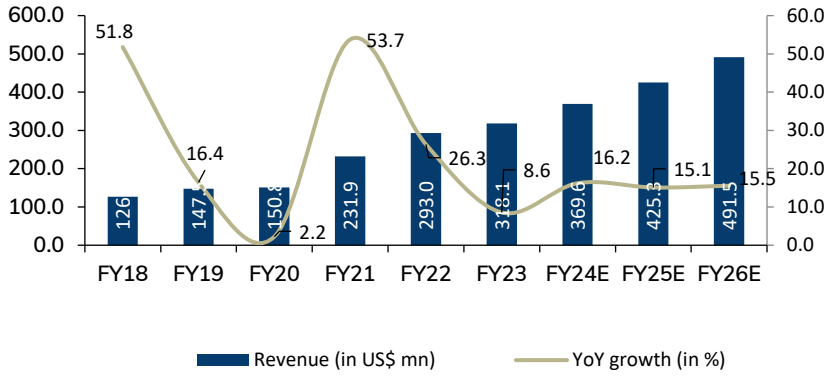
Source: Company, ICICI Direct Research

The company's attrition has declined from the peak of 28% in Q4FY22 to 20% in Q3FY24 which will help the company to improve its margins. The company's performance in US region has improved and its strategy to expand business in the US is bearing results. We believe that the company's margin in the regions of US & ME will improve gradually. The other levers for margin improvement are improvement in utilization & rationalization of SG&A expenses.

The company EBITDA margin in FY23 came at 17.8% and for 9MFY24 it reported EBITDA margin of 16.9%. The company aims to maintain its EBITDA margin in the band of 17-19% as it wants to invest to enhance its delivery capability, improve its client mining capabilities and win large deals. We believe that the company can maintain its margins in the guided band and achieve EBITDA margin of 19% in FY26E.

Key Financial charts

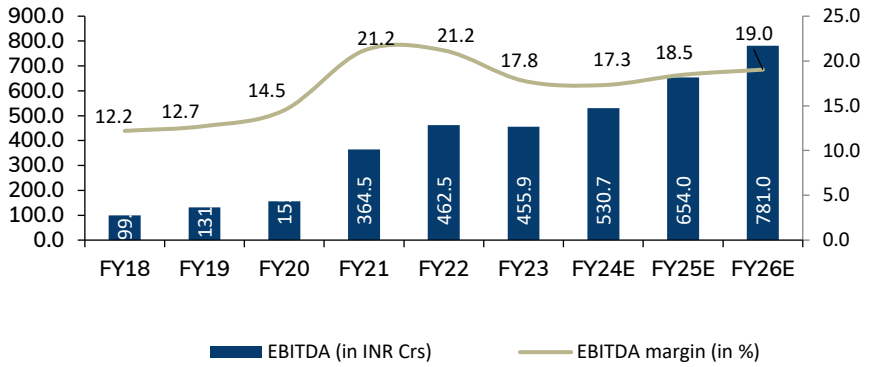
Exhibit 7: Trend in topline



Source: Company, ICICI Direct Research

Revenue grew at CAGR of 20.2% from FY18-23 period and is expected to grow at CAGR of 15.6% between FY23-26E

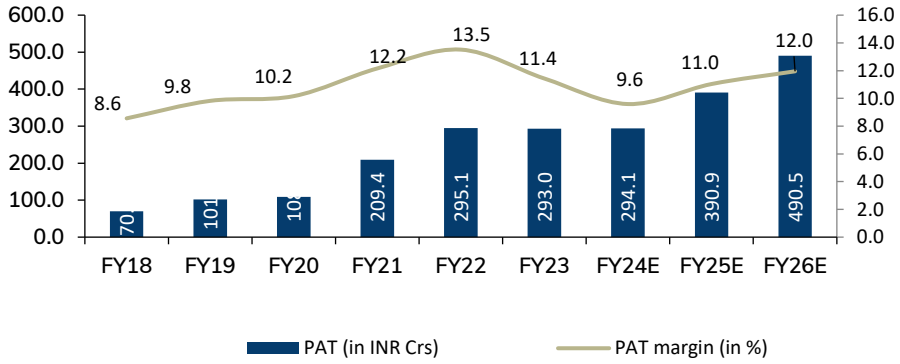
Exhibit 8: Trend in EBITDA & margins



Source: Company, ICICI Direct Research

EBITDA margins is expected to improve by 120 bps to 19% in FY26E from 17.8% in FY23.

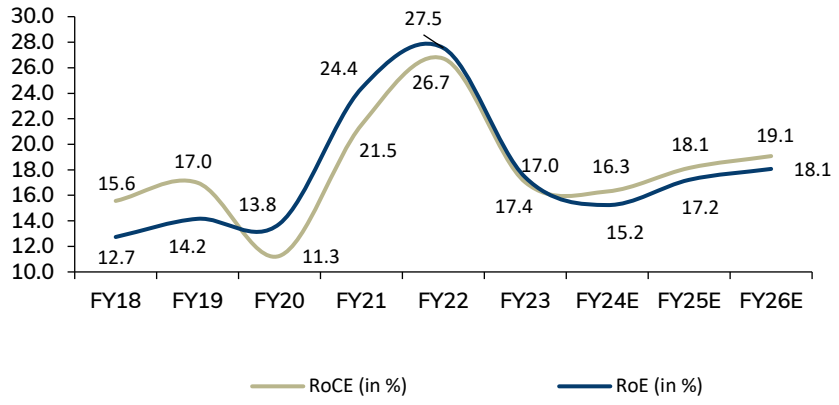
Exhibit 9: Trend in PAT & PAT margin



Source: Company, ICICI Direct Research

PAT is expected to grow at CAGR of 18.7% between FY23-26E.

Exhibit 10: Trend in return ratio



Source: Company, ICICI Direct Research

Risk and Concerns

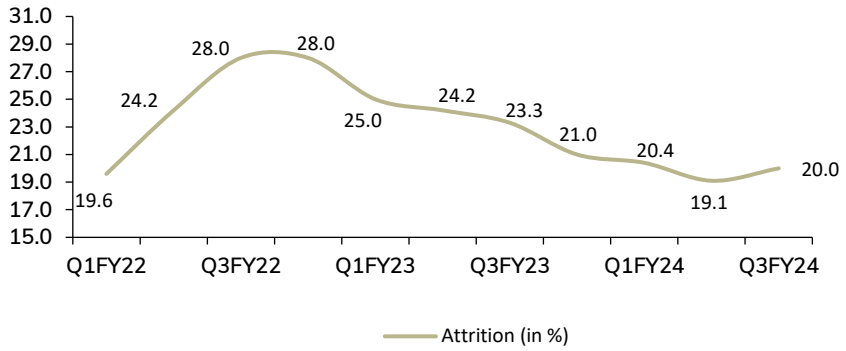
Changes/ cutdown in UK government policy for IT spending

Mastek generated ~62% of revenue from UK & Europe region in FY23 and in 9MFY24 it generated ~57% of revenue from UK & Europe. In this UK public sector & healthcare sector contributed a majority contribution of revenue which exposes it to significant risk due to any changes/slowdown in the UK government's IT spending policies.

Margin impacted by high attrition, forex fluctuations & competitive pressure

Mastek operates in a very competitive sector and its margins could be impacted in case of high attrition & pricing pressure due to high competition. High attrition could lead to higher employees cost which will directly impact the margins of the company. Also, high competition could lead to pricing pressure which in turn will also impact adversely on margins.

Exhibit 11: Attrition trend



Source: Company, ICICI Direct Research

The company generates most of the revenue in foreign currency which exposes its revenue & margins to forex fluctuation risks.

Challenging Macro Environment

The Indian IT services after witnessing rapid growth in FY22 has seen significant challenging macro demand environment in FY23. The sector has witnessed slowdown in client IT spending due to the headwinds of high interest rate, elevated inflation & rising geo-political tensions. Most of the headwinds the sector witnessed in FY23 continues till now and the same are still impacting the clients spending decisions wherein the clients are prioritizing the tech spends. We believe that if the macro environment worsens going ahead it will impact the revenue growth of the company.

Financial Summary

Exhibit 12: Profit and loss statement ₹ crore

(Year-end March)	FY23	FY24E	FY25E	FY26E
Net Sales	**2,563**	**3,066**	**3,543**	**4,104**
Growth (%)	17	20	16	16
Employee Exp	1,376	1,674	1,904	2,182
Other expenses	732	862	985	1,141
Total Operating Exp	2,108	2,535	2,889	3,323
EBITDA	456	531	654	781
Growth (%)	(1)	16	23	19
Depreciation	67	84	96	111
Net Other Income	14	(32)	(21)	4
PBT	402	414	537	674
Total Tax	117	105	134	169
Exceptional item	25	(4)	-	-
PAT after Minority Interest	293	294	391	490
Growth (%)	(1)	0	33	25
Diluted EPS (₹)	95.5	94.9	126.1	158.2

Source: Company, ICICI Direct Research

Exhibit 13: Cash flow statement ₹ crore

(Year-end March)	FY23	FY24E	FY25E	FY26E
Profit before tax	**402**	**414**	**537**	**674**
Add: Depreciation	67	84	96	111
(Inc)/dec in Current Assets	(156)	(192)	(183)	(214)
Inc/(dec) in CL and Provisions	(115)	195	185	218
Taxes paid	(136)	(105)	(134)	(169)
CF from operating activities	**107**	**339**	**428**	**532**
(Inc)/dec in Inv. (+) Int inc (+) Goodwill	274	15	32	53
(Inc)/dec in Fixed Assets	(1,011)	(61)	(89)	(103)
CF from investing activities	**(737)**	**(46)**	**(56)**	**(49)**
Issue/(Buy back) of Equity	2	-	-	-
Dividend paid & dividend tax	(57)	(59)	(62)	(62)
Others	147	48	53	49
CF from financing activities	93	(23)	(21)	(25)
Net Cash flow	(518)	271	351	458
Exchange difference	19	-	-	-
Opening Cash	727	208	479	830
Closing Cash	**208**	**479**	**830**	**1,288**

Source: Company, ICICI Direct Research

Exhibit 14: Balance Sheet ₹ crore

(Year-end March)	FY23	FY24E	FY25E	FY26E
Liabilities				
Equity Capital	15	15	15	15
Reserve and Surplus	1,668	1,914	2,255	2,699
Total Shareholders funds	1,683	1,930	2,271	2,714
Minority interest	91	102	114	129
Total Debt	371	371	371	371
Other liabilities	362	433	500	579
Total Liabilities	**2,507**	**2,835**	**3,256**	**3,794**
Assets				
Total Fixed Assets	1,747	1,736	1,741	1,745
Investments	38	38	38	38
Other non current assets	110	110	111	112
Debtors	507	606	700	811
Loans and Advances	-	-	-	-
Cash & Equivalents	208	479	830	1,288
Other current assets	531	623	711	813
Total Current Assets	1,246	1,708	2,240	2,912
Current liabilities	601	718	830	961
Provisions	33	40	46	53
Total Current Liabilities	634	758	876	1,015
Net Current Assets	612	950	1,364	1,898
Application of Funds	**2,507**	**2,835**	**3,256**	**3,794**

Source: Company, ICICI Direct Research

Exhibit 15: Key ratios

	FY23	FY24E	FY25E	FY26E
Per share data (₹)				
Diluted EPS	95.5	94.8	126.1	158.2
Cash EPS	118.1	123.2	158.7	196.1
BV	548.8	622.3	732.2	875.3
DPS	19.0	19.0	20.0	20.0
Cash Per Share	68.2	156.1	270.5	420.0
Operating Ratios (%)				
EBITDA Margin	17.8	17.3	18.5	19.0
PBT Margin	15.7	13.5	15.2	16.4
PAT Margin	11.4	9.6	11.0	12.0
Inventory days	-	-	-	-
Debtor days	72	72	72	72
Creditor days	**26**	**26**	**26**	**26**
Return Ratios (%)				
RoE	17.4	15.2	17.2	18.1
RoCE	17.0	16.3	18.1	19.1
RoIC	16.9	19.0	23.0	26.7
Valuation Ratios (x)				
P/E	30.0	30.2	22.7	18.1
EV / EBITDA	19.5	16.2	12.6	10.0
EV / Net Sales	3.5	2.8	2.3	1.9
Market Cap / Sales	3.4	2.9	2.5	2.1
Price to Book Value	5.2	4.6	3.9	3.2
Solvency Ratios				
Debt/EBITDA	0.8	0.7	0.6	0.5
Debt / Equity	0.2	0.2	0.2	0.1
Current Ratio	1.6	1.6	1.6	1.6
Quick Ratio	1.6	1.6	1.6	1.6

Source: Company, ICICI Direct Research

RATING RATIONALE

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Buy: >15%

Hold: -5% to 15%;

Reduce: -15% to -5%;

Sell: <-15%

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ANALYST CERTIFICATION

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